

25STCV12495 25STCV12495

County: los-angeles

Division: Civil Law and Motion

Department: 316

Hearing date: 2026-09-11

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C316%2C09%2F11%2F2026

Source SHA-256: 36a830454e1c3d64ed449627e91d5a6cfb810bb3aacd85562e1c61360615211e

Case Number: 25STCV12495 Hearing Date: September 11, 2026 Dept: 316

BACKGROUND

This case is a breach of contract dispute.

Plaintiff Fryman Management, Inc. served as a subcontractor for Defendant Essential Vegetation Management Services, LLC, on a construction project for Caltrans. Plaintiff alleges that it performed all its obligations under the parties' agreement, but Defendant refused to pay.

On May 21, 2025, Plaintiff filed its first amended complaint against Defendants Essential Vegetation Management Services, LLC, the State of California, and the Hudson Insurance Company. The first amended complaint alleges ten causes of action stemming from the facts alleged above.

On July 21, 2026, Defendant Essential Vegetation Management Services, LLC filed a Motion to Compel Release of Funds Withheld Under Stop Payment Notice.

On August 28, 2026, Plaintiff filed an opposition.

On August 28, 2026, the State of California, acting by and through the Department of Transportation ("Caltrans") filed a notice of non-opposition to the motion.

On September 3, 2026, Defendant filed a reply.

On September 8, 2026, Plaintiff filed a sur-reply.

TENTATIVE RULING

Defendant's Motion to Compel Release of Funds Withheld Under Stop Payment Notice is DENIED.

LEGAL STANDARD

On receipt of a stop payment notice, a public entity must withhold from the direct contractor sufficient funds to pay the claim stated in the notice. (Civ. Code, § 9358, subd. (a).) A direct contractor may obtain release of funds withheld pursuant to a stop payment notice if:

(a) The claim on which the notice is based is not a type for which a stop payment notice is authorized under this chapter.

(b) The claimant is not a person authorized under Section 9100 to give a stop payment notice.

(c) The amount of the claim stated in the stop payment notice is excessive.

(d) There is no basis for the claim stated in the stop payment notice.

(Civ Code, § 9400, subds. (a)-(d).)

To obtain said release, the direct contractor must serve an affidavit to the public entity. (Civ. Code, § 9402.) Afterwards, "[t]he public entity shall serve on the claimant a copy of the direct contractor's affidavit, together with a notice stating that the public entity will release the funds withheld, or the portion of the funds demanded, unless the claimant serves on the public entity a counteraffidavit on or before the time stated in the notice." (Civ. Code, § 9404.) "The time stated in the notice shall be not less than 10 days nor more than 20 days after service on the claimant of the copy of the affidavit." (Ibid.) "If no

counteraffidavit with proof of service is served on the public entity within the time stated in the public entity's notice, the public entity shall immediately release the funds, or the portion of the funds demanded by the affidavit, without further notice to the claimant, and the public entity is not liable in any manner for their release." (Civ. Code, § 9406, subd. (b).)

The Legislature designed this scheme for the speedy resolution of disputes over withheld funds. (See *Jasper Constr. Inc. v. Univ. Casework Sys., Inc.* (1974) 39 Cal. App. 3d 582, 586 ["a speedy resolution of disputes regarding stop notices and bonds on public projects is intended."].)

DISCUSSION

The Court holds that Plaintiff was not timely put on notice of Defendant's affidavit and could not file its counteraffidavit by the set deadline. Accordingly, it would be unjust and violate due process if the Court were to order the immediate release of the funds.

Here, on April 30, 2026, Plaintiff submitted a stop payment notice for \$823,728. (See *Tomaselli Decl.*, Exh. C, p. 3.) On June 13, 2026, Defendant served Caltrans with an affidavit to release funds withheld pursuant to Plaintiff's stop payment notice. (See *Tomaselli Decl.*, Exh. A.) Thereafter, Caltrans served Plaintiff with a copy of Defendant's affidavit and ordered Plaintiff to serve a counter affidavit by July 8, 2026. (See, *Tomaselli Decl.*, Exh. C.) Per Caltrans' own records, Plaintiff did not file a counter affidavit by said deadline. (See *ibid.* [records accessed on July 20, 2026, twelve days after the deadline].)

Given the foregoing, the withheld funds would be released as required by Civil Code section 9406, subdivision (b). However, Plaintiff asserts that Caltrans did not serve Defendant's affidavit to Plaintiff's correct mailing address. Prior to Defendant's affidavit, Plaintiff changed its corporate mailing address to P.O. Box 15025, San Diego, California 92175. (See *Niccoli Decl.*, ¶ 10, Exh. A.) Furthermore, Plaintiff reached out to Caltrans and requested that it update Plaintiff's mailing address to the San Diego address. (See *id.* at ¶¶ 11-12, Exh. B; *Fryman Decl.* ¶ 3.) However, Caltrans mailed Defendant's affidavit to Plaintiff's former Irvine address. (See *id.* at ¶¶ 14-15, Exh. C.) Therefore, Caltrans' service was defective and Plaintiff was not put on notice of

Defendant's affidavit until this present was filed. (See Niccoli Decl., ¶¶ 5-7.)

Accordingly, the Court finds that it would be unfair and violate due process if the Court ordered the release of the funds where Plaintiff had no opportunity to timely serve a counteraffidavit. For this reason, the Court shall not release the withheld funds and this motion is denied.

In reply, Defendant

contends that Caltrans' service was not defective simply because Plaintiff did not receive the affidavit. (See Reply, p. 3:14-21 [citing Med. Bd. of California v. Superior Court (2018) 20 Cal.App.5th 1191, 1195].) However, this principle only applies if the affidavit was properly mailed to Plaintiff. (See AO Alfa-Bank v. Yakovlev (2018) 21 Cal. App. 5th 189, 212 ["Moreover, even if receipt were relevant, proof that a letter was properly mailed 'creates a presumption that it reached its destination in usual time and was actually received by the person to whom it was addressed.'"]). Here, the affidavit was not properly mailed to Plaintiff; it was mailed to Plaintiff's former Irvine address after Plaintiff had informed Caltrans that i. (See Niccoli Decl., Exh. C.) Therefore, Caltrans' service was defective because it sent the affidavit to the wrong address, not because Plaintiff never received the affidavit.

Defendant faults Plaintiff

for referencing a separate contract in its email to Caltrans requesting that Plaintiff's address be updated. (See Reply, pp. 4:1-9.) However, the Court finds that Plaintiff's request – with a subject line of "Fryman Management – Address Change" and a request in the body of the email that Plaintiff "would like to change Fryman Management's mailing address to the PO Box below – to be sufficient to put Caltrans on notice of the update address. (See Niccoli Decl., ¶¶ 11-12, Exh. B.) The email referenced a separate contract but did not in any way indicate that the change of address request was limited to that contract.

Finally, Defendant requests

that if the Court is not going to order release of the full amount of the funds, that the Court treat this motion as a summary proceeding and determine the rights of the parties. (See Reply, pp. 5:26-6:8.) However, the Court finds that this is not the proper procedure for the Court to determine the rights of the parties. Once the affidavit and counter affidavit are served, either party may commence an action for a declaration of their rights. (Civ. Code, § 9408, subd. (a).) Either party may then move the court for a hearing to determine their rights under the affidavit and counter affidavit. (Id. at subd. (b).)

CONCLUSION

For the foregoing reasons, Defendant's Motion to Compel Release of Funds Withheld Under Stop Payment Notice is DENIED.